

OSFI LICAT Guideline (full)

1. Scope and Application

The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

2. Definitions and Interpretation

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3. Available Capital Components

Available Capital comprises Tier 1 and Tier 2 capital, retained earnings, and eligible instruments, net of regulatory deductions. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

4. Market Risk Requirement

The market risk component captures interest-rate, equity, real-estate and currency risk using prescribed shocks. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

5. Credit Risk Requirement

The credit risk component applies factors to on- and off-balance-sheet exposures by rating. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

6. Insurance Risk Requirement

The insurance risk component reflects mortality, morbidity, lapse and expense risk for life and health business, including long-term care. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

7. Capital Adequacy Ratio and Supervisory Target

The Life Insurance Capital Adequacy Test expresses capital adequacy as the ratio of Available Capital (plus surplus allowance and eligible deposits) to a Required Capital base reflecting insurance, market, credit and operational risk. The supervisory target ratio is 100 percent. A ratio at or above the supervisory target indicates the insurer holds capital sufficient to withstand prescribed adverse scenarios. Required capital and policy reserves are determined by prescribed actuarial standards and stress tests, not by predictive pricing models. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness.

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8. Operational Risk Requirement

An operational risk margin is added based on premiums and liabilities. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

9. Diversification and Credits

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10. Disclosure Requirements

Insurers disclose the ratio and its movement each quarter, with commentary. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices. The following pages contain supplementary background material, administrative notes, formatting conventions, and historical context retained for completeness. Readers seeking a particular topic should consult the table of contents and the index at the back of the volume. This material is provided for general reference only. Document control details, including the review cycle, the distribution list, and the amendment history, are maintained on a separate register. Page numbering follows the standard house style. Diagrams appear in the appendices.

11. Stress Testing and ORSA

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12. Transition Arrangements

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13. Appendix A: Worked Examples

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14. Appendix B: Reporting Templates

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